

Macau Wallet Recovery — pitch deck

The Gambling-Wallet Recovery Trade

Pitch deck — 2026-08-10 · SignalOS desk · principal + desk joint work

The trade in one paragraph

For five weeks this summer, the world’s table-gambling wallet went to the World Cup. Macau’s revenue fell 12% then 8%; Las Vegas baccarat volume fell 22%; Pennsylvania’s casino tables fell 21% — while slot machines everywhere were flat and sportsbooks took a record \$50 billion in tournament bets. The money didn’t disappear; it moved to the phone, and it is measurably moving back: Macau’s daily revenue run-rate inflected upward the exact week the tournament ended and has climbed every week since. The market, reading luck-distorted headlines, has treated part of this temporary diversion as structural decline and cut estimates across the sector. **The trade: own dated, defined-risk exposure to Macau premium gaming revenue mean-reverting, sized small, with every claim graded against a calendar of published statistics that begins resolving this week and culminates September 1.** Core instrument: WYNN October call spreads bought at the cheapest implied volatility of the year. Total risk if entirely wrong: ~0.3% of the book.

1. The evidence, in the order we found it

The drain — three venues, one wallet, same month (June, year-over-year):

Venue	Slots	Tables
Las Vegas Strip	ex-baccarat +2.1%	baccarat volume (drop) −22.4%
New Jersey	+1.7%	−6.4%
Pennsylvania	−1.3%	−21.0%
Macau	(arrivals +4.0%)	GGR −12.1%

The pattern identifies the mechanism: the slot-floor demographic was untouched everywhere; the table-games demographic — younger, male, bet-inclined, precisely the sports-betting overlap — went missing everywhere at once. Macau’s visitors kept coming (+4% arrivals); their gambling spend stayed home. New Jersey’s *total* take was up 7.9% once online is counted: the wallet was conserved, relocated.

The receiving side, measured: Flutter took 180 million tournament bets — handle up 174%, revenue up 164%. Entain guided up. For the Asian wallet, which is locked out of Western apps by KYC and capital controls: China ran a coordinated six-province police campaign against World Cup betting rings during the tournament (you don’t mobilize national enforcement against something that isn’t happening at scale), and Hong Kong’s Jockey Club — legal Asian football betting — reports its tournament-period year this month.

The reversal, already visible: Citi's channel check had Macau daily revenue +9% week-over-week in the exact week the tournament ended (July 19). JP Morgan's August checks show the daily rate still climbing — MOP710M → 793M — with VIP and mass volumes both +10–15% year-over-year. Seaport forecasts August at ~MOP23.2bn (~+4% YoY, above the +1.3% consensus bar).

The principal's own confirmation: his gambling wallet diverted to the World Cup this summer. The mechanism requires no exotic behavioral theory — it happened at this desk.

2. What five adversarial courts added (and subtracted)

We ran every major operator through a full red-team/blue-team court in 48 hours. Two findings reshape the trade:

Every operator's headline this cycle was flattered by elevated hold — but “luck” is only one of three possible causes, and the statistics let us rank them. Casino revenue = volume × “hold” (the house's realized win rate). Wynn Palace printed mass hold of 29.7% vs 22.3% a year ago; Studio City 36.9% vs 32.8%; Galaxy 28.2% vs 25.6%. Three explanations exist, with very different consequences:

1. **Luck** — mean-reverts fully. But here the arithmetic bites: if quarterly hold deviations were pure luck they would be independent across operators, and the chance of three-plus operators *simultaneously* printing well-elevated hold is below ~1%. **Luck-only is effectively rejected.** (We assign it $\leq 5\%$.)
2. **Composition** — the diverted premium wallet is the *low-hold* cohort (big main bets, few side bets); its absence mechanically raises blended hold. This reverts, but only as the volume returns — it is the missing wallet's statistical shadow, and it is our base case (~55%).
3. **Structure** — side games and engineered table mixes carry 5–15% house edges against ~1.1% on the main baccarat bet, and their penetration (smart tables, commission-free variants) has been drifting hold *permanently* upward for a decade. This component **does not revert** (~30%, including mixed cases).

The consequence cuts both ways and the deck should say so plainly: our courts' “hold-normalized” figures stripped the entire elevation as luck, making them a **conservative floor** — true run-rates sit between the reported headlines and those floors. And there is a **roughly one-in-three shot that elevated win-per-patron largely persists**: in that branch, the recovery is returning volume × a permanently higher revenue yield, and the trade pays **more** than the volume-only model — it is the branch in which WYNN's \$115 cap actually gets tested and the November tranche earns its keep. The September 1 print discriminates: hold falling as volume returns = composition (base case, magnitude as modeled); hold staying high on recovered volume = structure (upside beyond model). Either way, underlying premium *volume* is weaker than every headline showed — which is why no cash entry cleared a bar today, and why the diverted-wallet mechanism and the hold evidence are the same phenomenon seen from opposite sides of the fraction. **FITTED DECOMPOSITION (landed at press time, 607 quarters / 18 property series, primary filings) — it revises the bracket above:** there is **no cohort-wide hold elevation** (cohort $z + 0.10$, $p 0.73$; six of twelve Macau series sit

BELOW their own trends) — the anomaly is Wynn Palace (+11 **luck-sigma, unexplained and unidentified** — not cards; whale concentration, undisclosed mix, or a drop-definition change; question posed to the company) plus Studio City mildly (+2.3 σ). The composition-shadow story is refuted as a cohort claim. What IS confirmed: **structural hold drift at specific operators** — MGM +1.36pp/yr and Galaxy +1.18pp/yr with H1-26 ON trend (and MGM quietly deleted its old 16–22% guidance range while running 25–27%), corroborated by Vegas baccarat hold +0.36pp/yr over a decade. The persistence branch survives via engineered drift where it exists; the courts' luck-normalized figures remain conservative floors, now with the Palace bracket explicitly open in both directions. The volume-based thesis is untouched — it never depended on hold.

Every individual name carries a verified defect. Sands bought its share gain (net income –50%); Galaxy's volume grew below market on new capacity; Studio City is losing volume share under 6.4× leverage and a 2032 concession clock; Wynn's parent carries a stacked capital calendar (UAE equity draws, doubled 2027 Macau capex, a March-2027 convert put); Melco sits untouched at its 52-week low for reasons its court is now investigating. **No name cleared a conviction bar for a straight cash entry today.** The mechanism survived every court; every entry vehicle got gated. That asymmetry is what pushed the expression toward dated options.

3. Why we might have an edge — and why we might not

For (three legs): 1. **Decomposition discipline.** Our courts restate every casino claim in volume (drop) terms with hold split into luck / structural / composition before believing it. The sell side headlines GGR and company-adjusted EBITDA. Five courts caught five hold-flattered headlines the market is currently trading on. 2. **Cross-venue triangulation.** Nobody in print connects Macau GGR × Vegas baccarat drop × sportsbook handle as one conserved wallet. The pattern is unmistakable once assembled, and it was assembled here from primary state and regulator data. 3. **Weekly resolution.** The market's verdict instruments are monthly; the recovery's fingerprint (the week-over-week inflection at tournament close) was visible a month before the September print will make it official.

Against (equally honest): 1. The channel checks are public and syndicated within days — the operators are already 10–17% off their lows; part of this is priced daily. 2. June's –12.1% exceeds any historical World Cup drag (~3–5 points), so residual genuine softness is plausible — Morgan Stanley's "weak growth to Q4" cut may be partly right. 3. Some of June's weakness may be China's enforcement wave chilling underground payment rails rather than the tournament — and enforcement doesn't automatically revert with the final whistle. (Counterpoint ruled in by the principal: the rail-dependent cohort was already killed in 2021 — today's premium mass is the enforcement-resistant survivor, and even 2021's "destruction" rerouted to Singapore rather than vanishing.)

Our frozen forecast (accountability object): $p = 0.72$ that August Macau GGR prints above the +1.3% consensus bar, graded September 1. No re-strikes; the call grades our skill whether or not any trade pays.

4. The instrument decision

Vehicle	Verdict	Why / why not
WYNN Oct call spreads	CORE	Implied vol 30.7% vs 34.4% realized — the 90th percentile of six months; the market is selling leverage on the cohort's most liquid name at the year's cheapest price. October tenor spans the weekly leaks, the Sept-1 print, and Golden Week, then expires <i>before</i> Wynn's own earnings — a pure bet on the gate.
1128.HK (Wynn Macau) cash	Conditional	Undiluted 2–3× torque, ~7% trailing yield — no listed options exist ; awaiting its court's ruling on forward dividend policy vs the debt stack.
MLCO stock	Conditional	The untouched laggard — at its 52-week low while the cohort bounced. Cause-check court running. Its options are disqualified (98th-percentile IV — earnings days away). Post-print, post-IV-crush only.
MSC stock	Conditional	No options exist; the levered stub is an option (6.4× financial on 4.3× operating leverage). Strictly gated on its Aug-13 print: volume ≥ \$958M and hold ≤ 34.5% and EBITDA ≥ \$76M — all three.
Pairs (long-Macau / short-parent or short-locals)	Dissolved	Existed to bound cash-equity downside; the defined-risk debit does that job in one instrument. Re-opens only if cash legs size up materially.
Sept event options / MLCO premium / any net-credit structure	Rejected	The print isn't a discrete event (weekly leaks smear it); MLCO vol is at peak price; premium <i>selling</i> is barred in this book.

5. The core structure, priced

Buy WYNN October 105 calls / sell October 115 calls (model prices at the live 30.7% surface; live quotes re-anchored at staging):

	Cost	Value @ \$112	@ \$118	Max
Oct 105/115 spread	~\$2.84	\$7.00	\$10.00	\$10.00

- **Size:** ~8–10 spreads ≈ \$2.5–2.8k premium ≈ **0.25–0.3% of book**. Full win ≈ +60–75bps of book; full loss ≈ –25–30bps.
- **What we're long:** WYNN delta (~3% of book notional-equivalent), a little vega at the annual floor, and — stated plainly — **bounded sector beta**: the spread floors the dollar loss, not the direction. The position needs the gate to hit *and* the tape not to break; conditional win probability ≈ 0.55–0.60 (below the 0.72 gate probability), which the ~2.5–3.5× payoff covers with margin.
- **What we're short:** the tail above \$115 (financing — deliberately selling the part of the distribution we don't claim to predict), and time (if nothing resolves by Oct 16, the debit is lost).

- Optional second tranche: Nov 105/120 at half weight (~\$4.09) for deliberately riding Wynn's Q3 print after the gate resolves.

6. The falsifier calendar — every claim has a date

Date	What prints	What it grades
this week	PA + NJ July casino revenue	US tables mean-reverting while slots stay flat = domestic confirmation
~mid-Aug	HKJC annual results (FY closed June 30, mid-tournament)	the quantified Asian legal-betting surge
Aug 13	Studio City Q2 (confirmed date)	property-level drop/hold/EBITDA — MSC's three-condition gate
Aug 13–14	Entain interims; Sands China dividend decision	surge-side read; management's own confidence signal
weekly	JPM/Citi Macau daily-rate checks	a fade = early warning (annotate, never re-strike)
Sept 1	DICJ August GGR	the frozen call — three ways: GGR level (> +1.3%?), spend-per-visitor (via our arrivals series: recovery on flat arrivals = the thesis's unique signature), and hold direction (falling hold on recovering volume = the premium mix returning)
Oct 1–7	Golden Week	first clean seasonal pulse of the recovered regime
late Sept	Nevada August (July is tournament-confounded — court-corrected)	US baccarat mean-reversion

Kill / stand-down rules: mid-August daily-rate checks fading = do not add, review the spreads; Sept-1 print $\leq +1.3\%$ = the calendar excuse is dead, exit remaining premium value, grade the call UNFAVORABLE, and the Macau sleeve closes to new entries; MSC volume declining again on Aug 13 = that name is killed regardless of the macro.

7. Sizing and honesty

Aggregate sleeve if **every** conditional gate clears: ~1.5–2% of book, of which only the ~0.3% premium is at risk to a total thesis failure before the cash legs even stage. This is deliberately small: our probability edge over the market is maybe 12–20 points on one monthly statistic, the checks that inform us are public, and payoff engineering can make an edge *more profitable per dollar* but never justifies more dollars. The larger value of the position is calibration: it grades a fully-specified causal mechanism (wallet conservation) against dated public data, and the detector library it validated — volume-vs-hold decomposition (fired 5-for-5), the tables-vs-slots factor split, the trailing-yield trap, the hold composition effect — is knowledge the desk keeps regardless of P&L.

Open items at press time: three blue benches and the MLCO cause-check complete tonight; live option quotes re-anchor the model prices at Tuesday's open; the debit-spread structure needs the principal's ratification that defined-risk *net-debit* structures sit outside the no-premium-selling rule (they pay premium, they don't harvest it); HK derivatives permission is untested empirically if the Galaxy/Sands option lane is ever wanted.

Courts: WYNN (complete, FLAT-as-framed with the 9/01 gate), MSC (complete, three-condition gate), Galaxy + Sands + 1128.HK (blue benches in flight), LVS + MLCO (in flight). Artifacts in desk/data/court_artifacts/; frozen call MACAU-GGR|2026-09-01 in the calibration ledger; thesis file desk/reports/MACAU_WALLET_THESIS_20260810.md. Prices: KRX/HKEX/NASDAQ live 2026-08-10; option prices model-theoretical pending chain-endpoint recovery.